

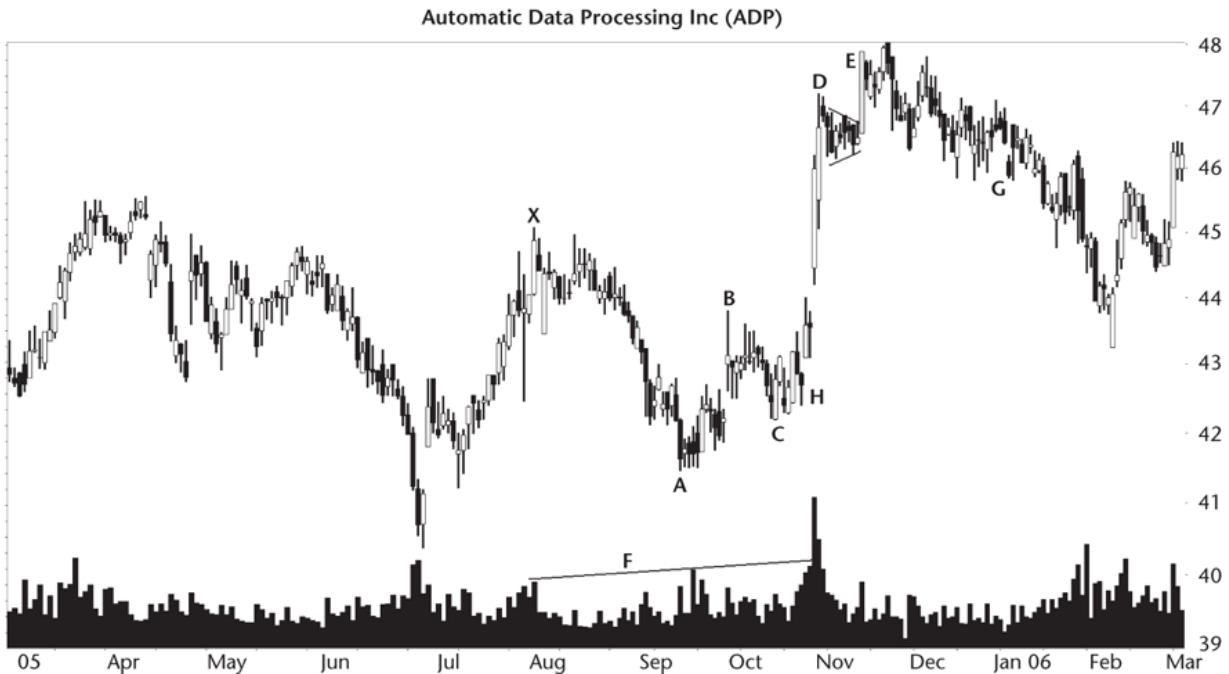


Figure 19.4 Sandy ignored the bearish crab and used a pennant to trade this stock.

She placed a buy stop a penny above the top of D to get into the trade as soon as possible. The buy stop triggered at E, and she received a fill of 47.21.

“What about a stop?”

“Stop? What’s that?” She grinned. The bottom of the pennant was at 46.15, so she placed a stop-loss order at 46.07. With a buy price of 47.21 and a stop at 46.07, the potential loss was a reasonable 2.4%. If price reached her target, that meant a gain of about 8%. “That’s a win/loss ratio of about three to one, but I don’t really pay attention to that.”

Eight days after she bought, the stock looked as if it were heading higher (to the highest peak on the chart). Then things went bad.

The stock eased lower, dropping far enough to hit her stop at G. She lost 2.4% on the trade.

“It was a winning trade,” she said.

My eyebrow shot up. “But you lost money.”

“I won because I traded it correctly. I followed my trading plan.”